FOOD RETAIL · FRANCE · EURONEXT PARIS: CA

Carrefour

A grocer priced at a double-digit free-cash-flow yield, with real estate worth more than the equity

● OVERWEIGHT | Contrarian idea | Conviction: Medium | 18-24 months

THE CALL	CLOSE, 29 OCT 2026
Rating	● OVERWEIGHT
Price	€13.08
Base-case value Free-cash-flow yield on normalised net free cash flow	€17.99
Upside to base case	+38%
Market cap	€9.3bn
52-week range	€12.63 – €17.54

01 Overview

Carrefour ranked first of 76 Consumer Staples stocks on our December 2025 score and has been held since June 2022. It is a classic 'cheap for a reason' retailer: thin margins, a price war at home and emerging-market currency risk. This note explains how a grocer makes money, why the October 2026 guidance cut matters less than the share price suggests, and why the dividend is the real test.

> Carrefour fell to €13 after cutting its 2026 guidance on French riots. At that price the market cap (€9.3bn) is below the appraised value of its property (€14.2bn), and even a reduced cash flow gives a double-digit yield. We buy the cash flow and the assets, not a margin recovery story.

MARKET CAP	REAL ESTATE (APPRAISED)	FORWARD P/E (THIRD-PARTY)	DIVIDEND YIELD
€9.3bn	€14.2bn	7.7x	7.4%

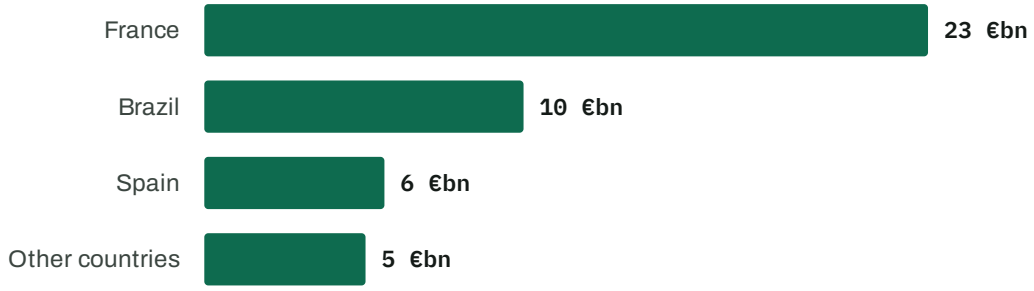
02 The business

Carrefour sells food and everyday goods through hypermarkets, supermarkets, convenience stores, cash & carry and online. Grocery is a volume business: Carrefour makes about 2.6 cents of operating profit per euro of sales, so small changes in prices or costs move profit a lot.

The 2030 plan (February 2026) focuses the group on three countries where it is No. 1 or No. 2: France, Spain and Brazil. Italy and Romania have been sold; Belgium, Poland and Argentina may follow. In France the group is moving stores to franchise and location-gérance, which lowers its own costs and capital needs.

The group also owns a large property portfolio, valued by independent experts at €14.2bn at end-2025. Carrefour has started selling stores and leasing them back, which turns that value into cash.

Sales incl. VAT by country, H1 2026



France (No. 2)

About half of sales: hypermarkets, supermarkets, convenience and e-commerce, moving toward franchise and location-gérance. ROI margin 1.5% in H1 2026.

Brazil (No. 1)

Atacadão cash & carry and retail; highest margin (4.0% in H1 2026) but exposed to rates near 15% and the real.

Spain (No. 2)

Steady growth and a 3.3% margin in H1 2026.

Other countries

Belgium, Poland and Argentina: loss-making in H1 2026 (−€34m) and under strategic review.

03 Industry & macro

France is one of the most competitive grocery markets in Europe. Leclerc, Carrefour, Intermarché and Lidl fight on price, and annual negotiations with suppliers cap how much inflation retailers can pass on. Carrefour's plan answers with 200 private-label products sold at cost to loyalty members, which defends traffic but limits margins.

In October 2026 riots, looting and curfews hit French retail: about 50 Carrefour stores were directly damaged and many more closed as a precaution. The company estimates €80-200m of 2026 operating income at risk and cut its guidance on 20 October; the stock fell 12% intraday the next day.

Brazil is the profit engine but brings macro risk: the policy rate near 15% hurt cash & carry volumes in 2025, and the real and the Argentine peso cost €102m of operating income in translation.

FRENCH UNREST

€80-200m

Estimated hit to 2026 recurring operating income from the October riots, looting and curfews.

FOOD PRICE WAR

200

Private-label products sold at cost to loyalty members under the 2030 plan: price investment caps margins.

BRAZIL POLICY RATE

~15%

High rates hit cash & carry volumes in 2025; rate cuts would help Atacadão.

CURRENCIES

−€102m

FX drag on 2025 operating income from the Brazilian real and the Argentine peso.

04 What happened

The events that shaped the stock, in order.

Jul-Nov 2025
Carrefour Italia sold to NewPrinces (EV ~€1bn)

17 Feb 2026
FY2025: ROI €2.16bn (−5.4%), adjusted EPS €1.60, dividend €0.97 + €0.21 special

18 Feb 2026
Carrefour 2030 plan; shares fall ~4.8%

H1 2026
Romania sold to Paval Holding (~€500m)

23 Jul 2026
H1 2026: ROI +4%, targets confirmed

Oct 2026
Sale-and-leaseback of 35 stores; €500m bond; RCF extended

20 Oct 2026
Q3 sales +2.3% LFL; 2026 guidance cut on French unrest

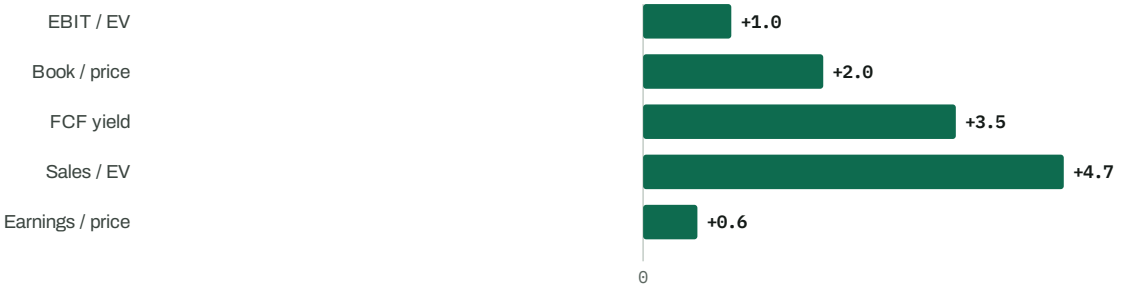
21 Oct 2026
Stock −12.2% intraday to €14.31

05 Why the screen picked it

At the December 2025 rebalance Carrefour scored +4.7 on sales-to-EV and +3.5 on FCF yield within Consumer Staples, using FY2024 accounts. P/FCF was 5.5x against 17.3x for its peers. Part of that is structural: grocers always look cheap on sales because margins are thin, so the FCF signal carries more information than EV/Sales here.

VALUE SCORE, DEC 2025	ACCOUNTS USED	WEIGHT, DEC 2025	H1 2026 RETURN
+2.79	**FY to 2024-12**	**2.0% / 4.0% / 0.5%**	**+20.3%**
rank 1 of 76 in Consumer Staples	year-end + 6-month lag	equal · min-var · mean-var	benchmark +10.8%

Z-scores within sector · Dec 2025 rebalance · above 0 = cheaper than the sector average



MULTIPLE, DEC 2025	CARREFOUR	PEER MEDIAN	SECTOR MEDIAN
EV/EBIT	11.79x	14.86x	16.93x
P/B	0.97x	3.27x	3.11x
P/FCF	5.53x	17.27x	17.41x
EV/Sales	0.24x	0.49x	1.84x
P/E	14.49x	17.20x	20.65x

Multiples on the accounts the model could use at the time. Peer set: same GICS industry group in the developed universe. Held at: 2022-06, 2022-12, 2023-06, 2023-12, 2024-06, 2024-12, 2025-06, 2025-12.

06 Investment thesis

01 Cash flow at a discount

Net free cash flow was €1.3bn in 2025 (€1.6bn excluding Italy). Even the 'slight decline' now guided for 2026 leaves a free-cash-flow yield above 10% on a €9.3bn market cap.

02 Assets cover the enterprise value

The property portfolio in France, Spain and Brazil was independently valued at €14.2bn at end-2025, above the market cap plus year-end net debt (about €13.2bn). Sale-and-leasebacks of 35 stores in October 2026 crystallise part of it.

03 A simpler group

Italy and Romania are sold, Brazil is fully owned, and the three core countries make about 85% of sales and 99% of recurring operating income. Belgium, Poland and Argentina are under review for disposal.

07 Variant perception

Where our reading differs from the obvious one.

WHAT THE MARKET SAYS	WHAT THE EVIDENCE SAYS
"The French market is structurally broken."	France is a low-margin, price-war market, but Carrefour is No. 2 and the plan already prices €1bn a year of savings, half of them delivered by mid-2026.
"The riots are a lasting hit."	Management estimates €80-200m of recurring operating income at risk in 2026. That is a one-year shock on a €2.2bn profit base, not a change in earning power.
"The dividend will be cut."	This is the real risk: a 50-60% payout on flat EPS implies €0.80-0.96 against €0.97 paid. We assume a cut in the base case.

08 Financials

LINE	FY2024	FY2025	H1 2026	2026 GUIDE (OCT)
Sales incl. VAT (pre-IAS 29)	—	€91.5bn	€43.8bn	—
Recurring operating income	€2.28bn	€2.16bn	€0.76bn	growth
ROI margin	—	2.6%	1.9%	+0 to +15 bp
Adjusted EPS	€1.74	€1.60	€0.49	stable to slightly up
Net free cash flow	—	€1.31bn	−€1.99bn*	slight decline
Net financial debt	—	€3.97bn	€5.85bn*	—
Dividend per share	—	€0.97 + €0.21	—	payout 50-60%

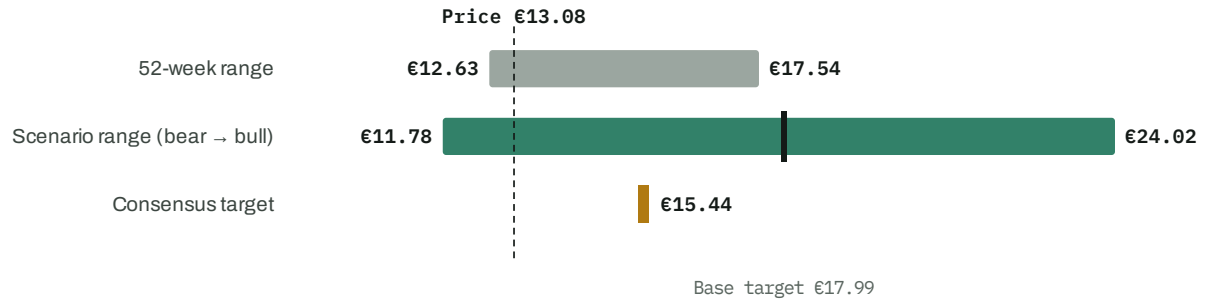
*Seasonal: working capital reverses in H2. FY2024 ROI derived from the −5.4% reported for 2025. Sources: Carrefour FY2025, H1 2026 and Q3 2026 releases.

09 Valuation

Method: Free-cash-flow yield on normalised net free cash flow. A grocer's value is its recurring cash. We divide a normalised net free cash flow by the yield an investor should demand for a low-growth, leveraged retailer (10-12%), then by 707.6m shares. The real-estate appraisal is a floor check, not part of the target.

SCENARIO	INPUTS	VALUE / SHARE	VS PRICE	WHAT HAS TO HAPPEN
Bear	FCF €1.0bn at 12.0% yield	€11.78	−10%	French margin keeps falling; dividend cut
Base	**FCF €1.4bn at 11.0% yield**	**€17.99**	**+38%**	**FCF back near the 2025 level; plan delayed a year**
Bull	FCF €1.7bn at 10.0% yield	€24.02	+84%	€5bn 2026-28 FCF target met; disposals of other countries

Valuation range · base case marked



Consensus target: €15.44 (+18%). Rating thresholds: Overweight above +15%, Neutral −10% to +15%, Underweight below −10%.

10 Catalysts

Nov-Dec 2026
Evolution of the French unrest; insurance and state compensation

Feb 2027
FY2026 results: dividend under the new payout policy; real-estate revaluation

Q1 2027
Decisions on Belgium, Poland and Argentina

Jul 2027
H1 2027: first test of the 3.2% margin path to 2028

2027
Brazil rate cuts helping Atacadão volumes

11 Risks & sell rules

RISK	MITIGANT
French unrest persisting into 2027	Store base diversified; security costs one-off
Price investment erodes margins	€1bn a year of savings; franchise model lowers costs
Dividend reset	Already assumed in our base case
Brazil macro and currency translation	Fully owned Brazil, No. 1 position

WE CHANGE THE CALL IF

- 2027 ROI margin not above 2025's 2.6%
- Cumulative 2026-28 net FCF tracking well below €5bn
- S&P outlook turning negative, or disposals that dilute EPS without deleveraging

The bear case, taken seriously

The bear case is that Carrefour is a value trap: French margins are permanently lower, the 2030 plan slipped in its first year, and a dividend cut removes the main support of the share price. Low multiples in grocery can simply reflect low returns on capital.

12 Interview prep

Questions a portfolio manager is likely to ask, with short answers.

Q Why is Carrefour cheap on EV/Sales, and does it matter?

Grocers earn 2-3% margins, so EV/Sales is always low. We focus on the FCF yield, which captures what the business actually returns.

Q The company just cut guidance. Why buy now?

The cut is a €80-200m one-year hit on a €2.2bn profit base. At €13 the cash-flow yield is above 10% and property covers the enterprise value.

Q What is the main risk to the thesis?

A dividend cut under the new payout policy. We assume it in the base case and still find value.

Q How long has it been in the portfolio, and how did it do?

Since June 2022, at 8 of 10 rebalances. In H1 2026 it returned about +20% against +11% for the benchmark.

13 Glossary

Recurring operating income (ROI)	Carrefour's operating profit before non-recurring items.
LFL (like-for-like)	Sales growth in stores open in both periods, excluding fuel and calendar effects.
Net free cash flow	Cash generated after capex, lease payments and interest, before dividends and M&A.
Sale-and-leaseback	Selling a store to an investor and renting it back, to release the capital tied up in property.

14 Sources

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Company figures from filings and releases listed above. Screen data (multiples, z-scores, weights) from the Bloomberg extract of 26-29 October 2026, aggregated. Peers: Ahold Delhaize, Tesco, Kroger, Jerónimo Martins (pipeline peer set).

Student research for educational and interview purposes. Not investment advice. Prices as of close, 29 Oct 2026.